

WSO - Research Report

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INTERNAL

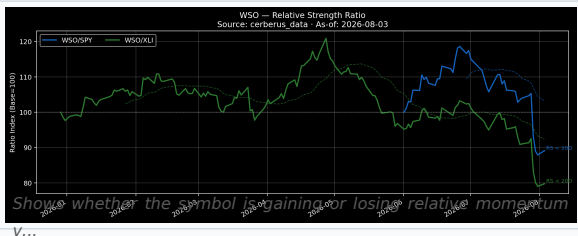
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SCORE 43.04/100	VERDICT Avoid until reclaim	PRICE 318.01
SETUP Mean Reversion @ 402.09	TARGET GAP target gap +20.18%	R/R 2.0:1
NEXT EARNINGS 2026-10-28		
Catalysts Earnings on 2026-10-28 Dividend recorded 2026-07-13		
Risks No elevated near-term risk flagged.		
Setup Setup: Mean Reversion Trigger: Level / Status Invalid: 288.03 / EMA21 357.89 Target: 377.98		

Executive Summary

- Score: 43.04/100
- MONITOR
- State: Hold / Neutral
- State: Downtrend / Trend-Down

Relative Strength Ratio



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Generated from Cerberus research markdown export.

Executive Summary & Verdict

****NEUTRAL HOLD / NEUTRAL****

NOTE

Technical Score: 43.04/100 · Verdict: MONITOR · Advice: Hold / Neutral

Pillar	Assessment
Market Cycle	Stage 4 — Decline DOWN
Trend / Regime	Downtrend / Trend-Down
TTM Squeeze	—
Valuation (P/E)	28.95x
Return on Equity	16.74% OK
Net Margin	6.53% WARN
Earnings Growth	-11.70% DOWN
Debt/Equity	15.15 OK
Analyst Mean Target	\$382.20 — +20.18% from current

Data Quality

PROVIDER QUALITY SCORE 90.00/100	EFFECTIVE REPORT CONFIDENCE 45.00/100
FRESHNESS STATUS STALE DATA	

Validation Warnings

WARNING - Institutional holding exceeds 100% at 113.94%.
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Data Freshness Brief

STATUS STALE	FRESH / STALE / UNKNOWN 0 / 22 / 2
TRACKED DATASETS 24	DETAIL LOCATION Appendix / Data Freshness & Provenance

Investment Case

THESIS Hold / Neutral (MONITOR setup)	VERDICT MONITOR
--	--------------------

TIME HORIZON Swing	ENTRY / TRIGGER 402.09
STOP / INVALIDATION 288.03 (-9.43%)	TRADE TARGET 377.98 (18.86%)
ANALYST MEAN TARGET 382.20 (20.18%)	REWARD / RISK 2.00:1
NEXT CATALYST 2026-10-28	

Investment Insight

Lens	Insight
Read	favorable asymmetry
Implication	setup supports action if trigger clears
Watch Next	trigger 402.09 and catalyst 2026-10-28
Confidence	high

Decision Dashboard

Lens	Read	Lens	Read
Trend	40.00	Momentum	13.64
Risk Adjusted	7.73	Confidence	13.92
Valuation	Rich	Macro Regime	neutral
Event Window	85d	Relative Context	-10.92% vs benchmark
Setup	Downtrend / Trend-Down		

Dashboard Insight

Lens	Insight
Read	signal stack weak
Implication	position sizing should stay selective
Watch Next	event window 85d
Confidence	high

Report Summary

Lens	Summary
Thesis	Hold / Neutral
Score / Verdict	43.04 / MONITOR
Strongest Evidence	Trend 40.00

Lens	Summary
Biggest Drag	Drawdown 0.00
Catalyst	2026-10-28
Invalidation	288.03

Summary Insight

Lens	Insight
Read	summary argues for caution
Implication	thesis still needs cleaner confirmation
Watch Next	watch catalyst 2026-10-28 and flow follow-through
Confidence	medium / stale inputs

Thesis Delta Brief

Lens	Read
Status	Unavailable
Reason	No previous same-profile report artifact found for delta comparison.

Signal Conflicts

Conflict	Why It Matters
street upside exists while short pressure remains elevated	setup needs extra confirmation before conviction should rise

Conflict Insight

Lens	Insight
Read	signals not fully aligned
Implication	contradictions reduce sizing confidence even if the headline score looks fine
Watch Next	watch whether price, relative strength, and flow start confirming each other
Confidence	medium / stale inputs

Anomaly Watchlist

Anomaly	Action
short ratio moved materially vs 20D average	treat as exception path until it normalizes or confirms the thesis

Anomaly Insight

Lens	Insight
Read	outlier conditions active
Implication	tail events can dominate normal signal interpretation
Watch Next	watch whether the anomaly fades, persists, or starts moving price
Confidence	medium / stale inputs

Conviction Gradecard

Pillar	Weight	Score
Trend	35%	40.00
Momentum	30%	13.64
Risk-Adjusted	20%	7.73
Valuation	15%	30.00
Composite	100%	24.14 (D / Defensive)

Confidence Decomposition

Driver	Value
Strong: Bollinger	91.79
Strong: Mean Reversion	80.09
Strong: Trend Strength	58.80
Weak: Drawdown	0.00
Weak: Risk Adjusted	7.73
Weak: VWAP	9.98
Read	Support led by Bollinger, Mean Reversion, Trend Strength; drag from Drawdown, Risk Adjusted, VWAP

NOTE

Score Bars: Momentum 14 | Trend 40 | RiskAdj 8 | VolStab 53

Price Snapshot

Snapshot

PRICE \$318.01	MARKET CAP \$13.76B
52W HIGH \$459.00	52W LOW \$300.66
BETA 1.04	DIVIDEND YIELD 4.27%
TRAILING P/E 28.95	FORWARD P/E 24.95
EPS (TTM) 11.54	SHARES OUT 35.53M
FLOAT 33.16M	FLOAT % 93.31%

Returns

1Y	YTD	MTD	WTD	1D
-25.26%	-8.44%	+0.00%	+0.00%	+2.82%

Setup / Risk Dashboard

CURRENT PRICE 318.01	PRIMARY TRIGGER 402.09
STOP 288.03	TRADE TARGET 377.98
STREET HIGH TARGET 485.00	REWARD / RISK 2.00:1
ATR(14) 14.99	EXPECTED MOVE BAND 4.71%

Setup Insight

Lens	Insight
Read	risk map actionable
Implication	trade can be planned before entry
Watch Next	break 402.09 with stop held above 288.03
Confidence	high

Setup Quality Grade

GRADE D	COMPOSITE SETUP SCORE 35.14
SIGNAL STACK trend 40.00, momentum 13.64, confidence 13.92	REWARD / RISK 2.00:1
UPSIDE TO TARGET 18.86%	ROOM TO STOP -9.43%

Catalyst Summary Card

NEXT EARNINGS 2026-10-28	EARNINGS COUNTDOWN 85d
EXPECTED MOVE PROXY 4.71%	LATEST DIVIDEND / SPLIT 2026-07-13
TOP CATALYSTS Earnings on 2026-10-28 ; Dividend recorded 2026-07-13 ; Analyst target gap +20.18%	TOP RISKS No elevated near-term risk flagged.

Scenario Analysis

Scenario	Trigger	Path	Consensus Context	Fail Condition	Probability
Bull	break > 402.09	trade target 377.98 (+18.86%)	analyst mean 382.20 (+20.18%)	lose 288.03	23%
Base	hold > 318.01	drift to 336.00 (+5.66%)	analyst mean 382.20 (+20.18%)	fail to reach 377.98	45%
Bear	lose 288.03	path 288.03 (-9.43%)	analyst mean 382.20 (+20.18%)	reclaim 402.09	32%

Key Debate

Side	Framing
Bull Case	analyst target still leaves 20.2% upside
Bear Case	edge is mostly narrative, not cross-validated
Decision Variable	confidence 13.92, momentum 13.64

Key Reasons

Side	Detail
Reasons To Be Long	target gap +20.2%
Reasons Not To Be Long	trend score only 40
Reasons Not To Be Long	momentum score only 14
Reasons Not To Be Long	signal confidence 14%
What Changes The Call	Hold / Neutral breaks if stop fails or catalyst path deteriorates



Figure 1. Price Chart - Candlestick + SMA + Volume + RSI (1Y)

Chart Read: Shows the primary price trend, participation, and momentum backdrop.

Read: setup offers about 18.9% upside versus 10.4% stop distance. Why it matters: combines trend, participation, and execution levels in one view. Source: local market data · As-of: 2026-08-03

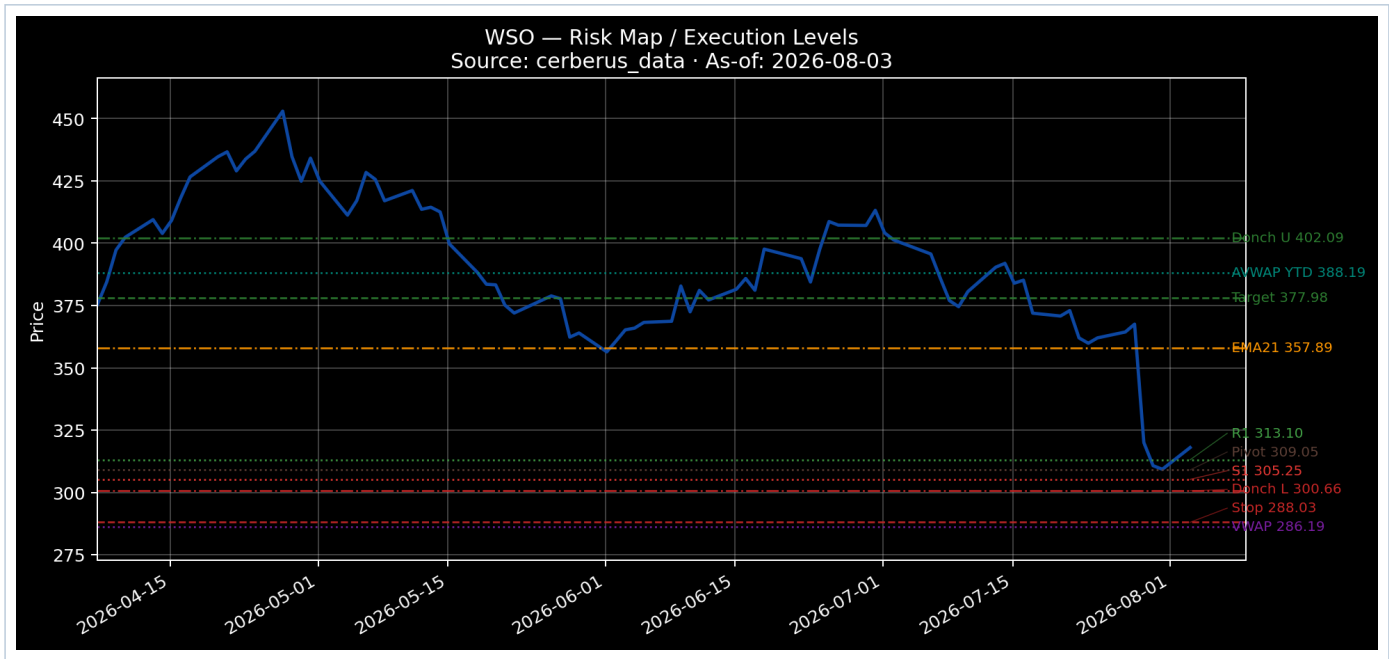


Figure 2. Risk Map and Execution Levels

Chart Read: Maps trigger, stop, and target levels into one execution view.

Read: payoff skew is favorable if trigger quality holds. Why it matters: makes trigger, invalidation, and target explicit. Source: technical indicators · As-of: 2026-08-03

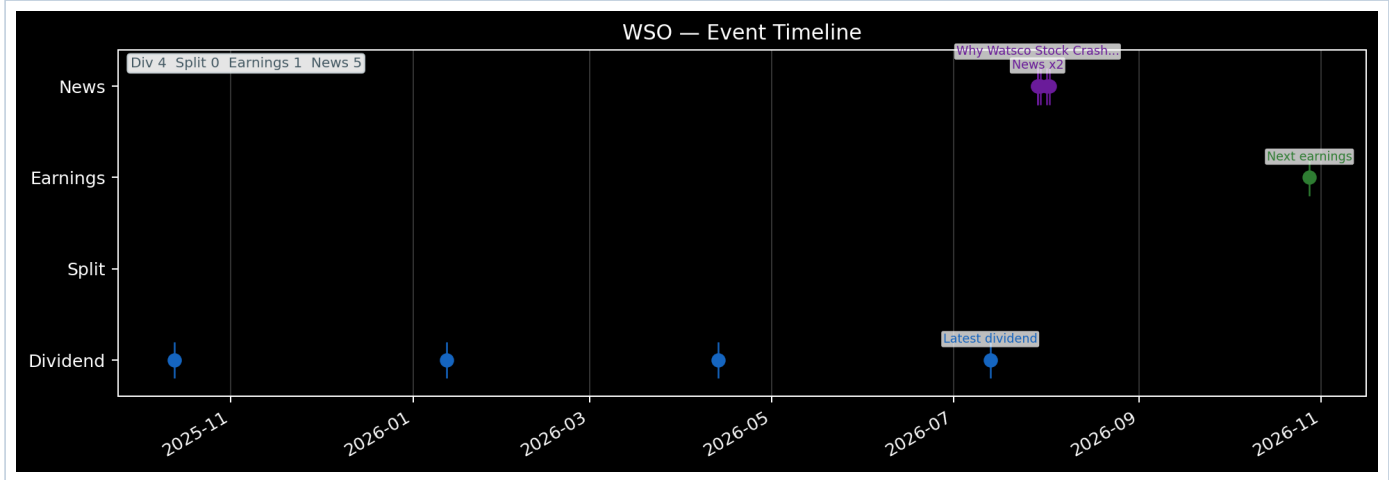


Figure 3. Catalyst and Event Timeline

Chart Read: Shows when key corporate events and headline catalysts occurred or are upcoming.

Read: next event window centers on 2026-10-28. Why it matters: timing of catalysts drives path dependence for the setup. Source: SEC events + earnings + news · As-of: 2026-07-29

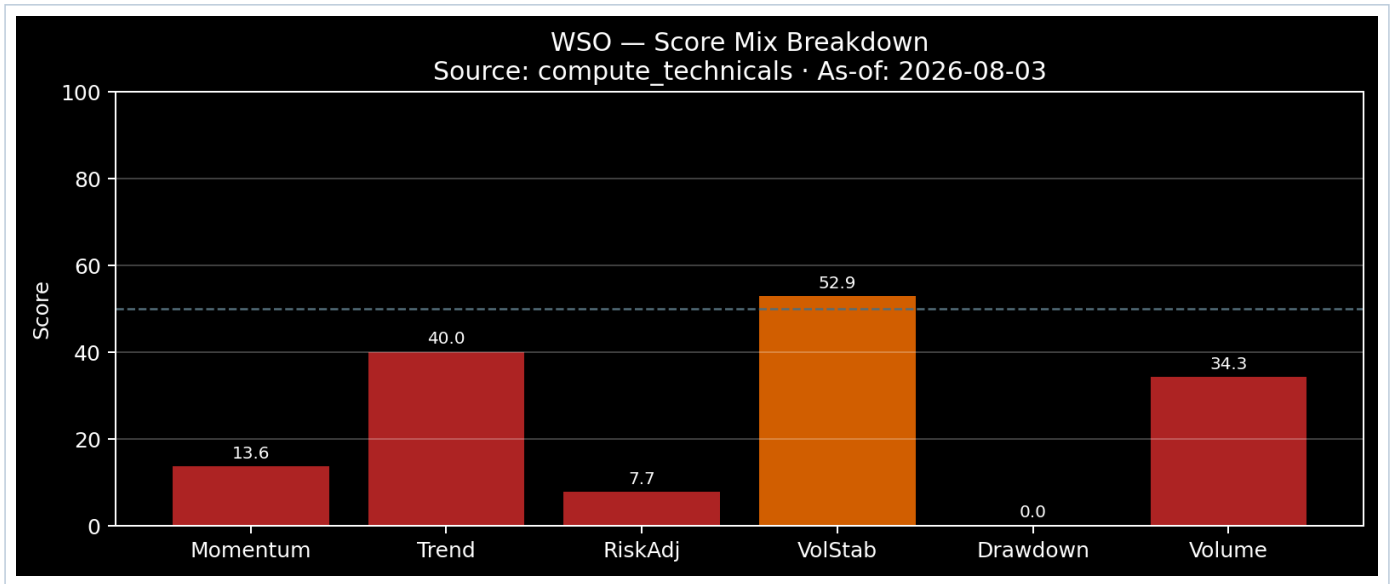


Figure 4. Score Mix Breakdown

Chart Read: Shows which technical sub-scores are carrying conviction and which remain weak.

Why it matters: shows which score drivers are carrying or dragging conviction. Source: technical scoring · As-of: 2026-08-03

Peer / Benchmark Snapshot

PRIMARY BENCHMARK SPY	6M RELATIVE VS PRIMARY -10.92%
SECTOR BENCHMARK XLI	6M RELATIVE VS SECTOR -26.01%
MEDIAN PEER 6M RELATIVE 12.77%	NET MARGIN VS PEER MEDIAN 6.53% vs -

Relative Strength / Benchmark Context

1Y RETURN (SYMBOL) -25.26	YTD RETURN (SYMBOL) -8.44
BETA VS MARKET 1.04	PRIMARY BENCHMARK SPY
BENCHMARK-RELATIVE RETURN (6M) -10.92%	SECTOR/PEER BENCHMARK XLI
EXCHANGE / TYPE NYQ / EQUITY	INTERPRETATION laggard

Horizon	Symbol	Benchmark	Spread
1M	-20.75%	1.73%	-22.48%
3M	-23.76%	0.14%	-23.90%
6M	-17.19%	0.14%	-17.33%

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Horizon	Symbol	Benchmark	Spread
1Y	-24.43%	0.14%	-24.57%
PRIMARY BENCHMARK SPY		6M RELATIVE RETURN VS SPY -10.92%	
SECTOR BENCHMARK XLI		6M RELATIVE RETURN VS SECTOR -26.01%	
PEER RANK 7/7		PEER PERCENTILE 0.00%	
BREADTH (PEERS POSITIVE 1Y) 2/6		BREADTH (PEERS POSITIVE 6M REL) 6/6	
MA PARTICIPATION 0/4 above		INTERPRETATION lagging primary benchmark; trailing sector peer benchmark; bottom-tier peer momentum; above 0/4 key MAs	
PEER READ neglected			
LEADERSHIP Laggard		CROWDING Clean	
POSTURE Cyclical		PRIMARY RELATIVE -10.92%	
SECTOR RELATIVE -26.01%		PEER PERCENTILE 0.00%	
CONCLUSION laggard; vs primary benchmark negative; sector leadership weak; clean positioning			

Relative Strength Insight

Lens	Insight
Read	relative leadership absent
Implication	benchmark or peers may offer cleaner exposure
Watch Next	relative ratio and breadth must stay aligned
Confidence	high

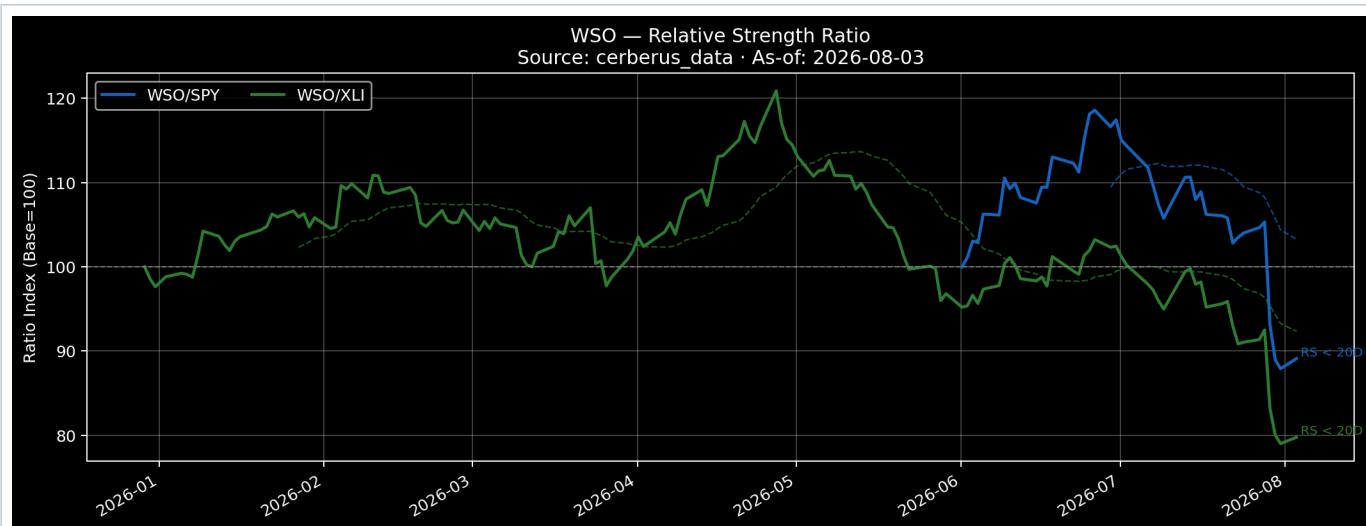


Figure 5. Relative Strength Ratio

Chart Read: Shows whether the symbol is gaining or losing relative momentum versus its benchmark.

Read: lagging SPY by 10.9%. Why it matters: confirms whether the symbol is actually outperforming its benchmark set. Source: local market data vs benchmark · As-of: 2026-08-03

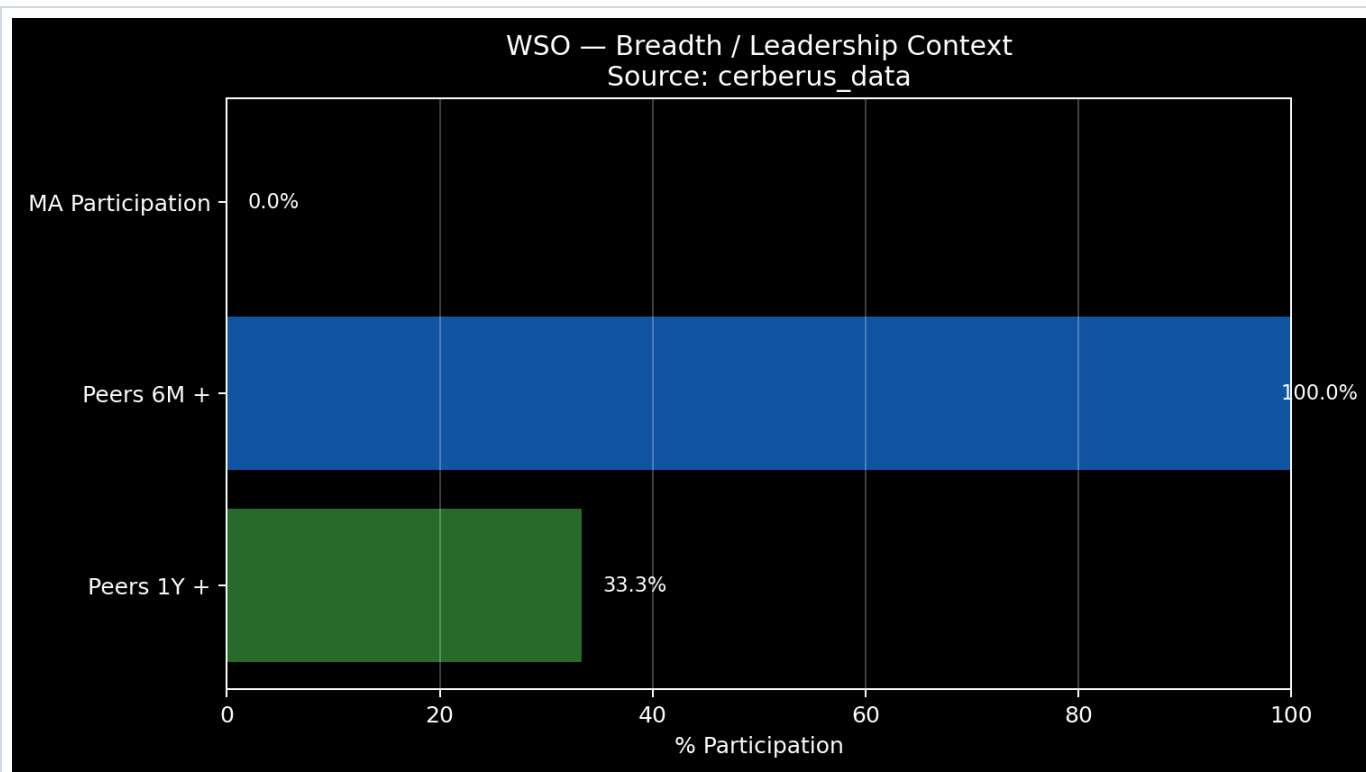


Figure 6. Breadth and Leadership Context

Chart Read: Shows how broadly supported the move is across peers and moving-average participation.

Why it matters: tests whether leadership is broad or narrow versus peers. Source: peer snapshot / local market data · As-of: 2026-08-03

Peer Allocation View

NOTE

Peer cut vs SPY using local index/sector mapping.

Lens	Subject	Peer Medi...	Verdict
6M Relative Return	-10.92%	12.77%	Laggard
1Y Return	-25.26%	-5.18%	Laggard
Net Margin	6.53%	—	Unavailable
Operating Margin	11.32%	—	Unavailable
5D Major Flow	N/A	\$2.47M	Unavailable
Panel Verdict	laggard	6 peers	SPY

Benchmark-relative context vs SPY using local sector/index peers.

Symbol	1Y Return	6M Rel	Net Mar...	Op Margin	5D Major Flow
ALLE	-1.96%	24.24%	—	—	\$-108.83K
AXON	-22.44%	20.62%	—	—	\$18.05M
ADP	-8.40%	16.15%	—	—	\$-10.26M
AOS	-12.36%	9.39%	—	—	\$5.04M
AME	34.32%	9.16%	—	—	\$-7.42M
BA	5.22%	3.95%	—	—	\$43.94M

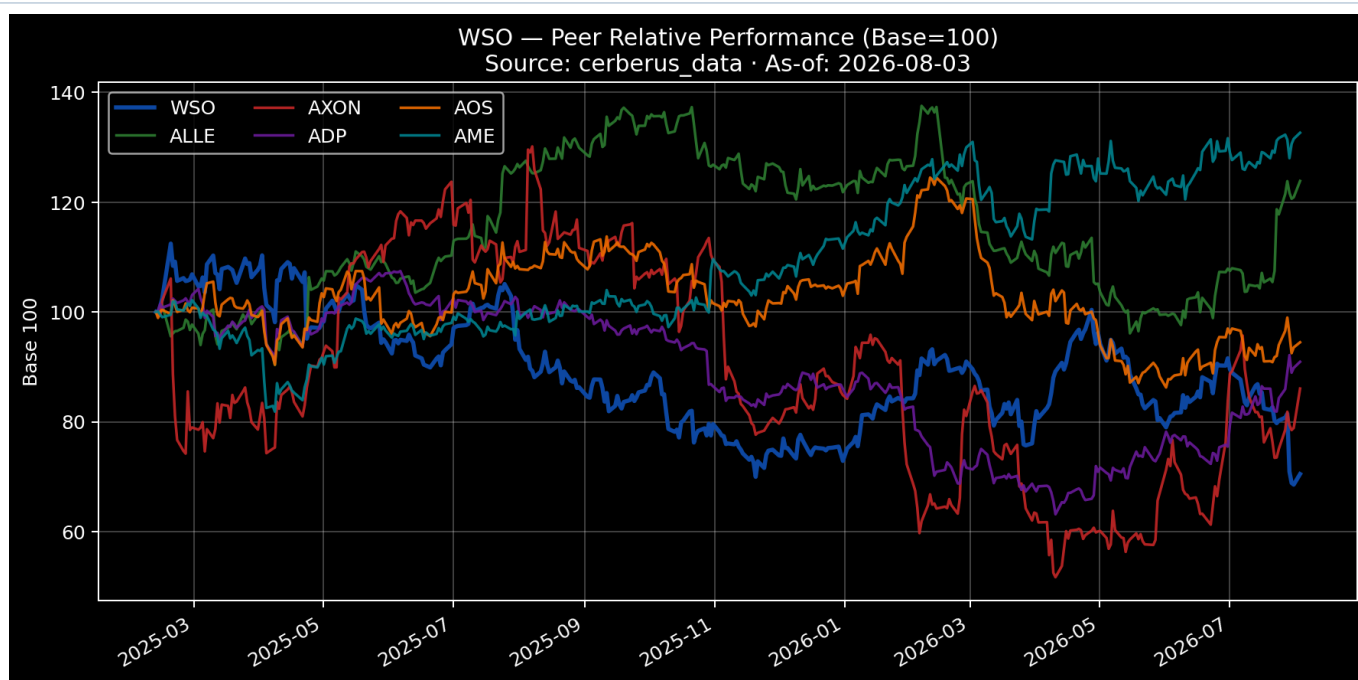


Figure 7. Peer Relative Performance (1Y, Base=100)

Read: relative performance sits near the 0th peer percentile. Why it matters: frames the allocation decision versus comparable alternatives. Source: peer snapshot / local market data · As-of: 2026-08-03

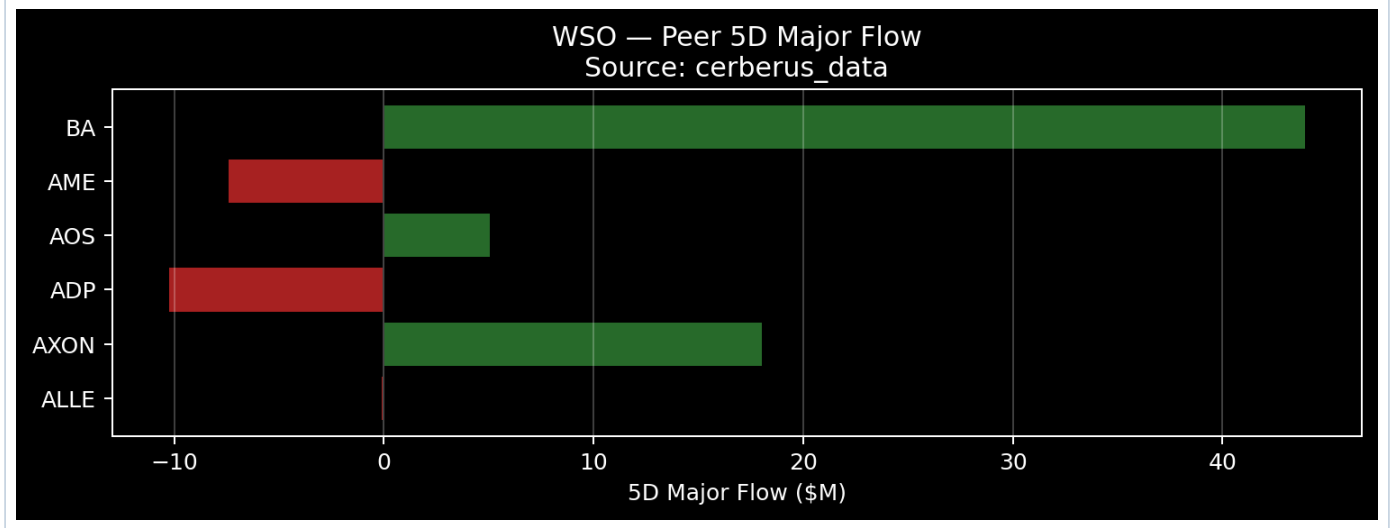


Figure 8. Peer 5D Major Flow

Why it matters: highlights where institutional flow is concentrating inside the peer set. Source: peer snapshot flows · As-of: N/A

AAll Retail Sentiment

AS OF 2026-07-23	BULLISH 29.59%
NEUTRAL 28.06%	BEARISH 42.35%
BULL-BEAR SPREAD -12.76	READ retail bearish

CBOE Volatility & Risk Premium

AS OF 2026-07-31	VIX9D 16.38
VIX 7.69	VIX3M 19.02
SKEW 141.23	TERM SLOPE (VIX3M - VIX9D) 2.64
BXM 2490.46	PUT INDEX 3557.59

Index	Value
LONGVOL	5.31
LOVOL	566.03
LTV	8.00
SHORTVOL	1766.07
SMILE	2526.34

Read: complacency

Macro / Liquidity / Positioning Dashboard

STATE neutral	OVERALL SCORE 0.19
AS OF 2026-07-31	

Component	Score
Liquidity	0.25
Volatility	-0.33
Breadth	1.00
Crowding	0.25
Rates	0.00
Macro Revision	0.00

Neutral tape; prioritize selectivity and benchmark-relative confirmation.

AS OF 2026-07-31	TAPE STATE Neutral
TOTAL PUT/CALL 0.91	EQUITY PUT/CALL 0.63
INDEX PUT/CALL 1.01	SKEW 141.23
VIX3M CLOSE 19.02	SPOTVOL CLOSE 7.69
VOL TERM PREMIUM 11.33	

forward vol above spot

AS OF 2026-07-31	NET LIQUIDITY \$5.83K
CREDIT SPREAD 0.80	HY SPREAD 2.84
YIELD CURVE 0.47	FINANCIAL STRESS -0.83
NFCI -0.55	10Y TERM PREMIUM 0.84
INTERPRETATION net liquidity positive	
NAAIM AS OF 2026-07-22	NAAIM EXPOSURE 84.02
NAAIM RANGE -25.00 / 200.00	NAAIM QUANTILES 85.00 / 95.50 / 100.00

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NAAIM DISPERSION

43.61

DIX

0.46

DIX Z-SCORE (20D)

0.82

READ

Crowded long; dark-pool accumulation

DIX/GEX AS OF

2026-07-31

GEX

\$5.74B

GEX Z-SCORE (20D)

0.15

Macro Insight

Lens	Insight
Read	macro backdrop mixed
Implication	macro should not be the only driver
Watch Next	watch regime state, liquidity stress, and sentiment crowding together
Confidence	high

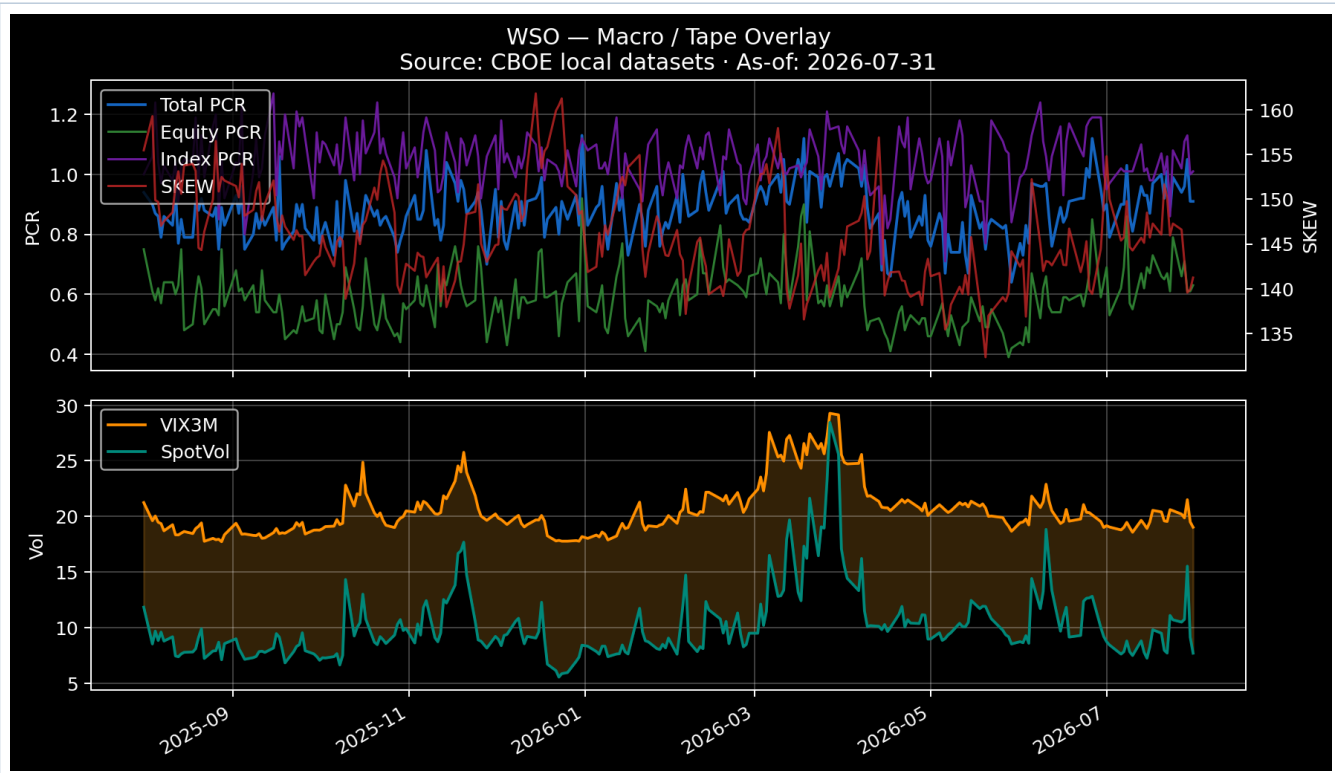


Figure 9. Macro and Tape Overlay

Why it matters: macro positioning can amplify or cap setup follow-through. Source: CBOE local datasets · As-of: 2026-07-31

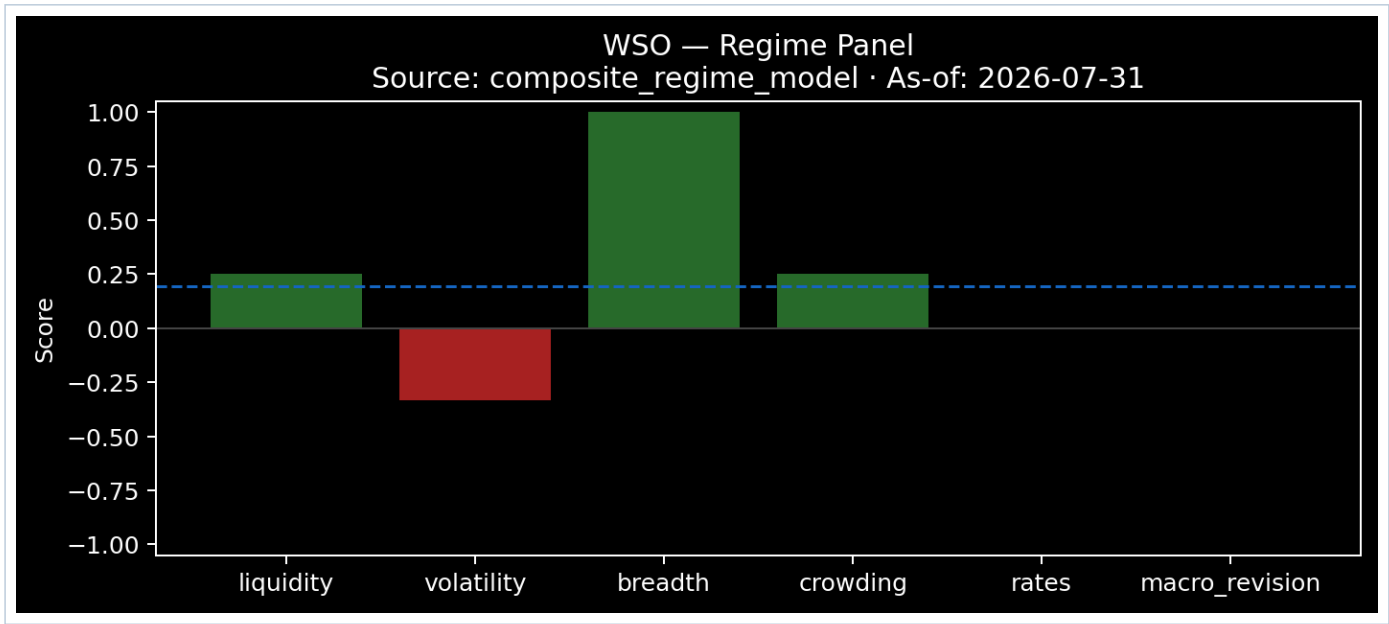


Figure 10. Market Regime Panel

Chart Read: Summarizes the macro regime drivers supporting or pressuring risk appetite.

Why it matters: regime alignment changes expected payoff and sizing discipline. Source: regime dataset · As-of: 2026-07-31

Technical Overview

SCORE 43.04/100	VERDICT MONITOR
REGIME Trend-Down	ADVICE Hold / Neutral
TREND Downtrend	CONFIDENCE 13.92%

Price vs Moving Averages

Period	Position	Level
SMA 20	Below SMA	\$364.10
SMA 50	Below SMA	\$377.37
SMA 200	Below SMA	\$379.96
VWAP	Above SMA	\$286.19
Supertrend(10,3)	Below SMA	\$357.30

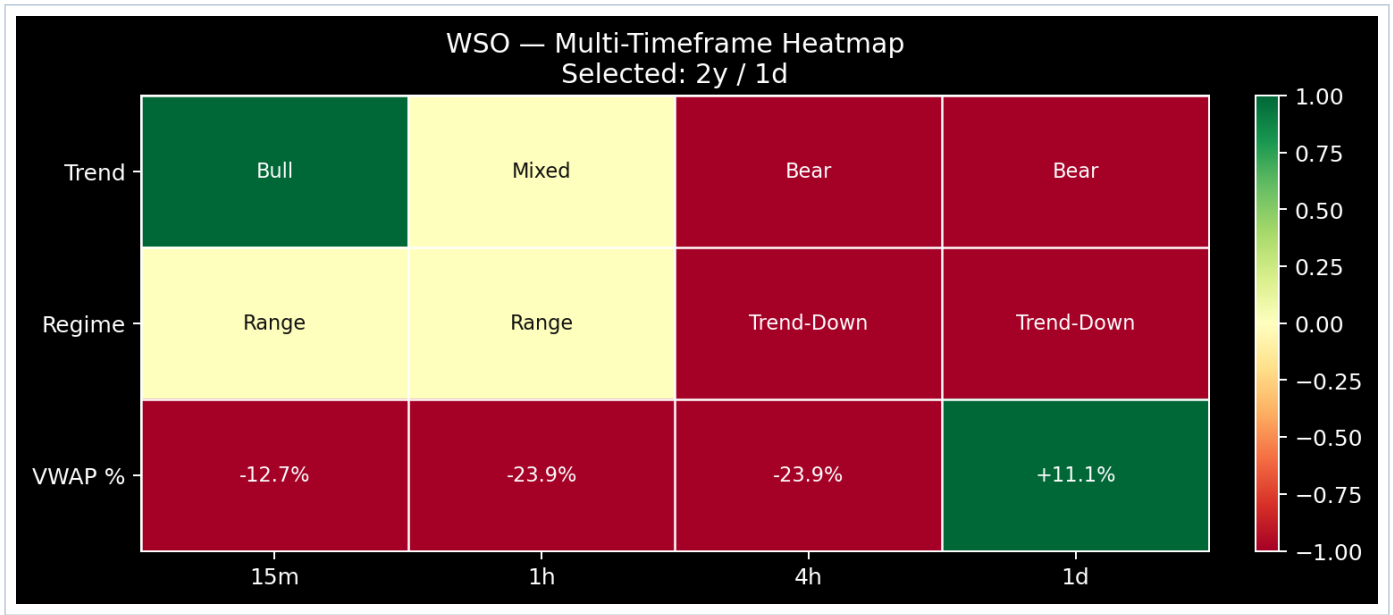


Figure 11. Multi-Timeframe Heatmap

Chart Read: Shows alignment or conflict across short and longer timeframes.

Why it matters: higher timeframe alignment improves follow-through odds. Source: technical indicators · As-of: 2026-08-03

Technical Scorecard

Setup Classification	
PRIMARY SETUP Mean Reversion	REASON mean-rev 80, BB pos 8
TREND / REGIME Downtrend / Trend-Down	VERDICT / ADVICE MONITOR / Hold / Neutral
STRUCTURE STAGE Stage 4 / Decline	TREND STACK Bear stack
VALUE POSTURE 3/4 above	VCP / VOLATILITY STATE 3.3 / Expansion

Execution Card	
TRIGGER >402.09 or reclaim 337.01	INVALIDATION <288.03 / EMA21 357.89
TARGET 377.98	REWARD / RISK 2.0:1
TIMEFRAME BIAS Bear	

Watch Conditions

Trigger	Level / Status
---------	----------------

Trigger	Level / Status
Donchian Breakout	>402.09
VWAP Posture	+11.1%
EMA9 Reclaim/Hold	337.01
EMA21 Reclaim/Hold	357.89
Target	377.98
Volume Confirmation	34.3
Compression Flags	NR7 No / Inside No / TTM Off

Invalidation Logic

Check	Threshold
ATR Stop	<288.03
Donchian Lower	<300.66
Supertrend	<357.30
EMA21	<357.89
Current Drawdown	-44.1%
Risk / Reward	2.0:1

Timeframe Agreement

Interval	Trend	Regime	Price vs VWAP
15m	Bull	Range	-12.7%
1h	Mixed	Range	-23.9%
4h	Bear	Trend-Down	-23.9%
1d	Bear	Trend-Down	+11.1%
Consensus	0.00%	Bear	—

Regime / Driver Breakdown

Driver	Value
Final Score	43.0
Confidence	13.9
Momentum	13.6
Trend	40.0
Risk Adjusted	7.7
Vol Stability	52.9
Drawdown	0.0

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Driver	Value
Volume Confirmation	34.3
ATR Percentile	86.9
Vol Clustering	-0.041
Gap Fill Prob	87.1%

Technical Insight

Lens	Insight
Read	technicals aligned
Implication	setup should be treated as tactical until more alignment appears
Watch Next	mean reversion trigger, MTF bias Bear, and volume confirmation
Confidence	high

Market Structure Deep Dive

Support / Resistance Clusters

Side	Cluster
Resistance	320.95 (+0.9%) x1 [R3]
Support	316.90 (-0.3%) x4 [R2, R1, Fib R2, Fib R1]

Distance Matrix

Level	Value	Distance
VWAP	286.19	+11.1%
EMA9	337.01	-5.6%
EMA21	357.89	-11.1%
SMA50	377.37	-15.7%
SMA200	379.96	-16.3%
Pivot	309.05	+2.9%
R1	313.10	+1.6%
S1	305.25	+4.2%
Donchian Upper	402.09	-20.9%
Donchian Lower	300.66	+5.8%
Stop	288.03	+10.4%
Target	377.98	-15.9%

Candle / Bar Anatomy

O / H / L / C
314.06 / 321.00 / 313.91 / 318.01
RANGE / ATR
7.09 / 0.47x
STREAK
1

BODY / UPPER WICK / LOWER WICK
56 / 42 / 2
CLOSING RANGE
57.8%

Historical Behavior Near Key MAs

MA	Behavior
DMA20	avg +0.3%
DMA50	avg +0.3%
DMA200	avg -0.1%

Compression / Expansion

Flag	Value
VCP Score	3.3
Volatility State	Expansion
TTM Squeeze	Off
NR7 / Inside Bar	No / No
ATR Percentile / Vol Clustering	86.9 / -0.041

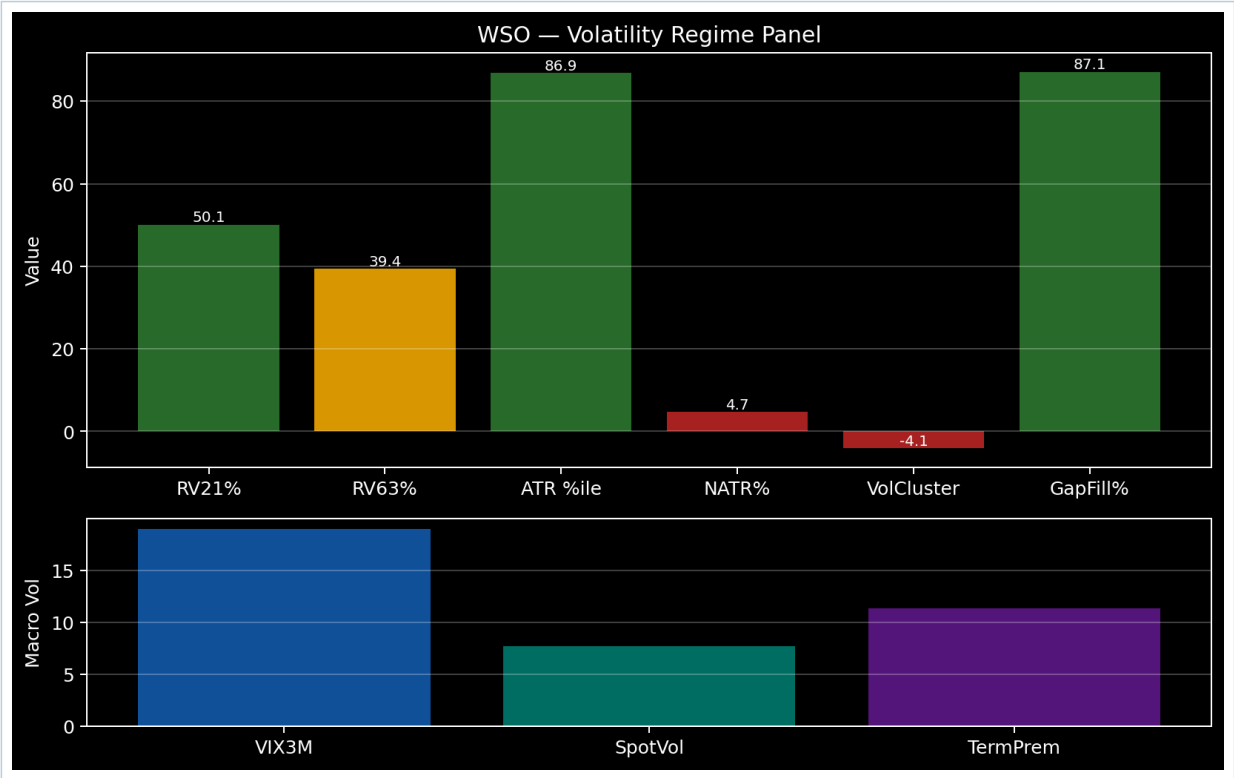


Figure 12. Volatility Regime Panel

Chart Read: Shows whether realized and implied volatility conditions favor expansion or compression.

Read: ATR is running near 4.7% of spot, so wider stops may be necessary. Why it matters: vol state affects breakout odds and stop placement. Source: technical indicators · As-of: 2026-08-03

Technical Indicators

Indicator	Value	Indicator	Value
RSI(14)	28.04	Stoch K/D	12.44/14.05
MACD	-18.66	MACD Signal	-11.91
MACD Hist	-6.75	Williams %R	-81.49
ADX(14)	29.40	CCI(20)	-152.20
ATR(14)	14.99	NATR(14)%	4.71%
BB Upper	419.26	BB Lower	308.95
BB Position	8.21%	Z-Score	-1.67
ROC(21)%	-21.42%	ROC(63)%	-25.80%
SAR	365.98	ER(10)	0.59
OBV Ratio	-0.14	52W Pos%	5.90%

Pattern Signals

Signal	Status
NR7	—
Inside Bar	—
Bull Pin Bar	—
Bear Pin Bar	—
Closing Range%	57.83%
Streak (bars)	1

Market Structure

WEINSTEIN STAGE Stage 4 (Decline)	VCP SCORE 3.33
--------------------------------------	-------------------

Risk Levels (ATR-based)

Level	Price	Note
Stop Loss	\$288.03	2x ATR below entry
Target	\$377.98	4x ATR above entry
Risk/Reward	2.00:1	—

Risk & Quantitative Metrics

Metric	21D	63D
Realized Vol (Ann)	0.50%	0.39%
Sharpe Ratio	-5.48	-2.82
Sortino Ratio	-6.20	-3.71
Calmar	-12.19	-3.91

CURRENT DRAWDOWN -44.09%	MAX DRAWDOWN (2Y) -45.62%
CVAR 95% -5.91%	KELLY FRACTION -0.29
HURST EXPONENT 1.00	SKEWNESS -2.47
KURTOSIS 8.57	VOL CLUSTERING -0.04
GAP FILL PROB% 87.12%	MONTHLY WIN RATE% 33.33%
MTF CONSENSUS% 0.00%	

Score Breakdown

Component	Score
Momentum	13.64
Trend	40.00
Mean Reversion	80.09
Bollinger	91.79
VWAP	9.98
Trend Strength	58.80
Vol Stability	52.86
Risk-Adjusted	7.73
Drawdown	0.00
Volume	34.25

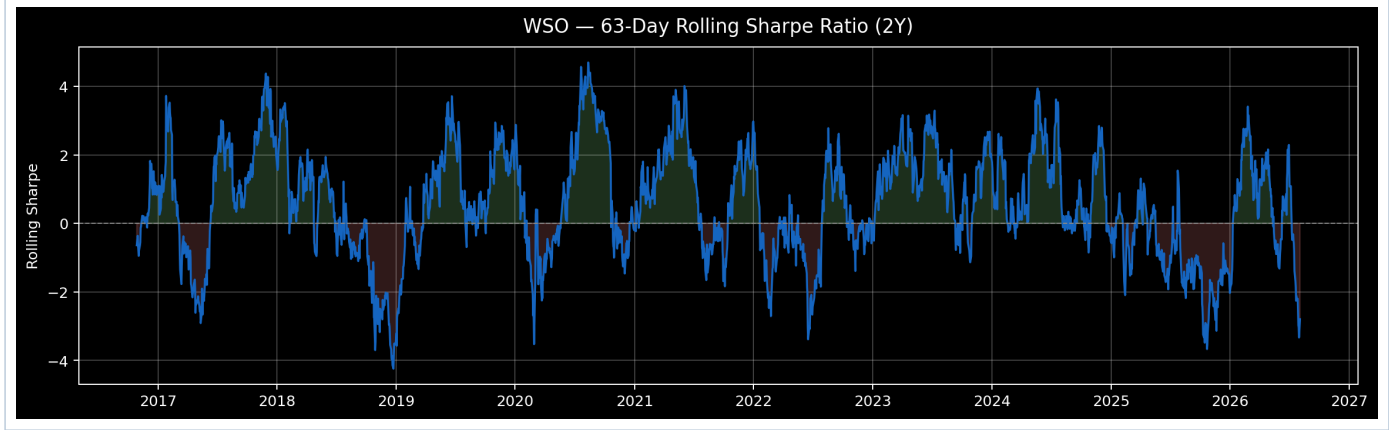


Figure 13. 63-Day Rolling Sharpe Ratio (2Y)

Chart Read: Shows whether returns have recently been efficient or unstable on a risk-adjusted basis.

Why it matters: shows whether recent returns have been efficient or unstable. Source: yfinance daily bars · As-of: 2026-08-03

NOTE
Primary sources: SEC companyfacts, local actions, yfinance fallback. Derived fields are labeled.

Issuer Profile

WEBSITE watsco.com	INVESTOR RELATIONS IR
SEC PROFILE CIK	CIK 0000105016
LISTING NYSE / equity	COUNTRY United States
DOMICILE / LISTING United States / United States	EMPLOYEES 6.95K
IPO DATE 1984-06-07	ACTIVE LISTING True
STATUS REASON active	ETF / ADR / REIT False / False / False

Identifiers

FIGI BBG000DJN7L9	COMPOSITE FIGI BBG000DJN7L9
SHARE CLASS FIGI BBG001S82CQ2	OPENFIGI TYPE Common Stock / Common Stock
OPENFIGI MARKET SECTOR Equity	OPENFIGI EXCHANGE / MIC US

Valuation

TRAILING P/E	28.95
PEG RATIO	1.35
EV/EBITDA	18.09
MARKET CAP	\$13.76B

FORWARD P/E	24.95
P/S RATIO	1.89
PRICE/BOOK	4.26
ENTERPRISE VALUE	\$12.69B

Profitability & Margins

GROSS MARGIN	27.51%
NET MARGIN	6.53%
ROA	8.37%
GROSS PROFIT	\$2.00B

OP MARGIN	11.32%
ROE	16.74%
EBITDA	\$701.27M

Income Statement (TTM)

REVENUE	\$7.28B
EBITDA	\$701.27M

NET INCOME	\$442.92M
------------	-----------

Most Recent Quarter

Q OP CASH FLOW	\$-18.91M
----------------	-----------

Point-in-Time Trend Snapshot

Metric	2026-06-30	2026-03-31	2025-12-31	2025-09-30
Revenue	—	\$1.53B	\$1.58B	\$2.07B
Net Income	—	\$79.07M	\$71.75M	\$161.57M
Operating Income	—	\$104.70M	\$95.79M	\$225.26M
Operating Cash Flow	\$-18.91M	\$399.77M	\$354.94M	\$-7.45M

Fundamental Score Summary

GROWTH SCORE	50.00
--------------	-------

QUALITY SCORE	66.38
---------------	-------

RESILIENCE SCORE

68.99

CAPITAL ALLOCATION SCORE

54.27

OVERALL FUNDAMENTAL SCORE

59.91

OVERALL POSTURE

Balanced

Margin Trend / Growth Regime

GROWTH REGIME

Stable compounder

REVENUE TREND

insufficient history

GROSS MARGIN TREND

insufficient history

OPERATING MARGIN TREND

insufficient history

NET MARGIN TREND

insufficient history

Balance Sheet & Resilience

TOTAL ASSETS

\$4.41B

TOTAL LIABILITIES

\$1.19B

STOCKHOLDERS EQUITY

\$2.78B

CASH & EQUIVALENTS

\$433.28M

TOTAL DEBT

\$526.20M

NET DEBT

\$92.92M

STRESS READ

Balanced

NET DEBT / EBITDA

0.13

CURRENT / QUICK RATIO

3.20 / 1.41

DEBT / EQUITY

15.15

Cash Flow & Conversion

OPERATING CASH FLOW

\$733.26M

CAPITAL EXPENDITURES (DERIVED)

\$249.79M

FREE CASH FLOW

\$483.48M

OCF / NET INCOME

1.66

FCF / NET INCOME

1.09

CAPEX INTENSITY (DERIVED)

3.43%

EARNINGS QUALITY

Cash-backed earnings

Ownership & Short Interest

INSIDER HOLDING

0.39%

INST. HOLDING

113.94%

SHORT % FLOAT

0.00%

SHORT RATIO (DTC)

0.00

SHARES SHORT
57

Growth & Yield

REVENUE GROWTH
2.10%

FCF YIELD
3.51%

EPS FWD
13.39

EARNINGS GROWTH
-11.70%

PAYOUT RATIO
109.57%

Capital Returns & Share Count

DIVIDEND YIELD
4.27%

DIVIDEND CADENCE
quarterly

SHARES OUTSTANDING
35.53M

SHAREHOLDER YIELD (EST.)
4.27%

BUYBACK / DILUTION REGIME
Stable

PAYOUT RATIO
109.57%

LATEST DIVIDEND
2026-07-13

SHARE COUNT TREND
insufficient history

YIELD DECOMPOSITION
dividend 4.27% + buyback -%

Valuation Context

TRAILING P/E CONTEXT
rich

EV / EBITDA CONTEXT
rich

OVERALL VALUATION POSTURE
Richly priced

FORWARD P/E CONTEXT
rich

FCF YIELD CONTEXT
attractive

COVERAGE NOTE
peer/sector valuation history unavailable in current snapshot

Sector-Relative Fundamentals

NET MARGIN PERCENTILE
not meaningful

FUNDAMENTAL MOMENTUM SCORE
59.91

OPERATING MARGIN PERCENTILE
not meaningful

RELATIVE READ
insufficient peer sample

Fundamentals Insight

Lens	Insight
Read	balanced

Lens	Insight
Implication	valuation needs more help from execution
Watch Next	watch growth regime, cash conversion, and share-count drift together
Confidence	medium

Valuation Sanity Flags

TRAILING PE 28.95	FORWARD PE 24.95
EV / EBITDA 18.09	PRICE / SALES 1.89
DIVIDEND YIELD 4.27%	FLAG COUNT 3

Flag	Read
Valuation	trailing PE screens rich at 28.95
Valuation	forward PE screens rich at 24.95
Valuation	EV/EBITDA screens rich at 18.09

Fundamental Quality Panel

QUALITY SCORE 80.25	VERDICT Strong
GROWTH revenue 2.10%, earnings -11.70%	MARGINS gross 27.51%, operating 11.32%, net 6.53%
FCF YIELD 3.51%	LIQUIDITY current 3.20, quick 1.41
DEBT / EQUITY 15.15	

Fundamental Quality Insight

Lens	Insight
Read	fundamental quality strong
Implication	fundamentals support paying up for the name
Watch Next	watch growth, FCF yield, and leverage move in the same direction
Confidence	high

Curated Fundamentals

NOTE No curated fundamentals available.
--

Corporate Actions

NOTE

Charts and relative returns use adjusted close when available; raw OHLC remains unadjusted.

Recent Dividends

Date	Amount	Source
2026-07-13	3.30	yfinance
2026-04-13	3.30	yfinance
2026-01-12	3.00	yfinance
2025-10-13	3.00	yfinance
2025-07-14	3.00	yfinance

Earnings & Revenue

Next Earnings

Next Date	EPS Estim...	Revenue Estimate
2026-10-28	4.21	\$2.20B

EPS Surprise History (Last 8 Quarters)

Date	EPS Estim...	Reported E...	Surprise
2026-10-28	4.10	—	—
2026-07-29	4.39	4.00	DOWN -8.79%
2026-04-28	1.68	1.87	OK 11.37%
2026-02-17	1.89	1.68	DOWN -11.11%
2025-10-29	4.29	3.98	DOWN -7.28%
2025-07-30	4.83	4.52	DOWN -6.35%
2025-04-23	2.25	1.93	DOWN -14.31%
2025-02-18	2.20	2.37	OK 7.90%

Annual Revenue & Net Income

Year	Revenue	Net Income	Net Margin
2025	\$7.24B	\$496.99M	6.87%
2024	\$7.62B	\$536.29M	7.04%
2023	\$7.28B	\$536.34M	7.36%
2022	\$7.27B	\$601.17M	8.26%
2021	—	—	—

Research only. Not investment advice. Past performance is not indicative of future results.

Share Buybacks (Annual)

Year	Repurchases
2025	\$3.66M
2024	\$39.67M
2023	\$2.83M
2022	\$87.11M

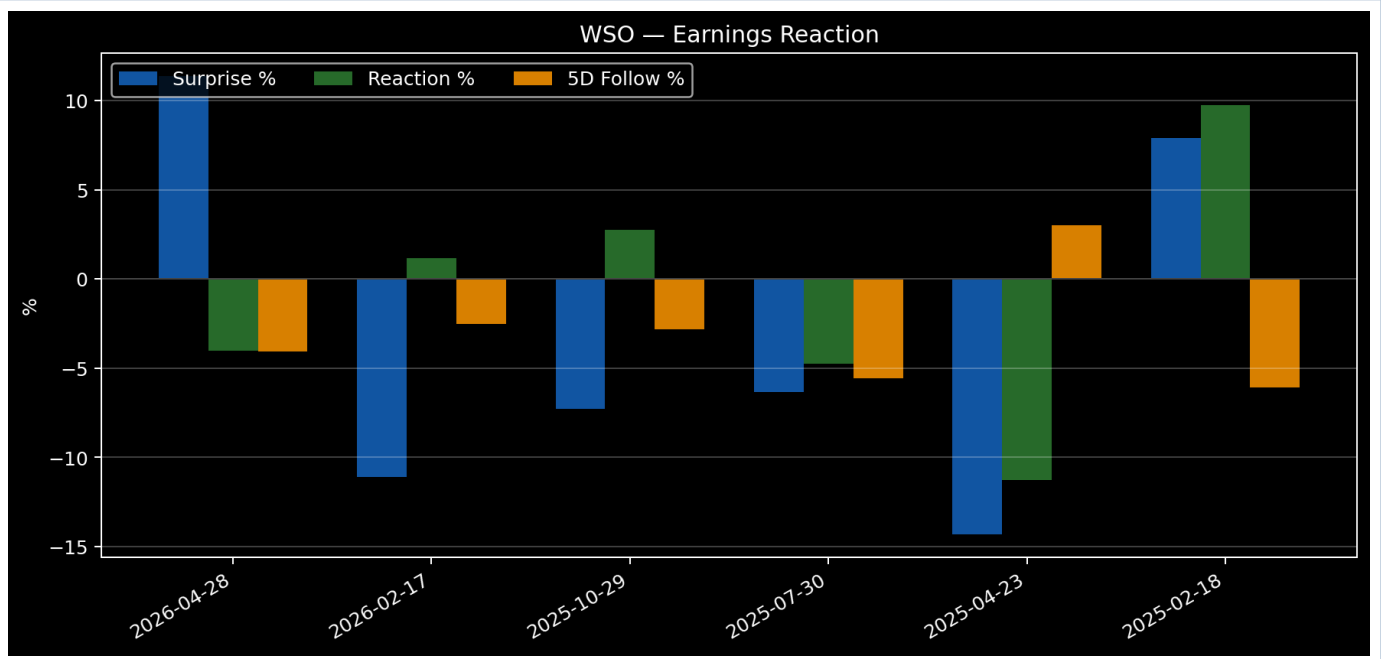


Figure 14. Earnings Reaction

Chart Read: Shows how the stock has typically moved around earnings events.

Why it matters: event reaction history sets expectations into the next print. Source: earnings history · As-of: 2025-02-18

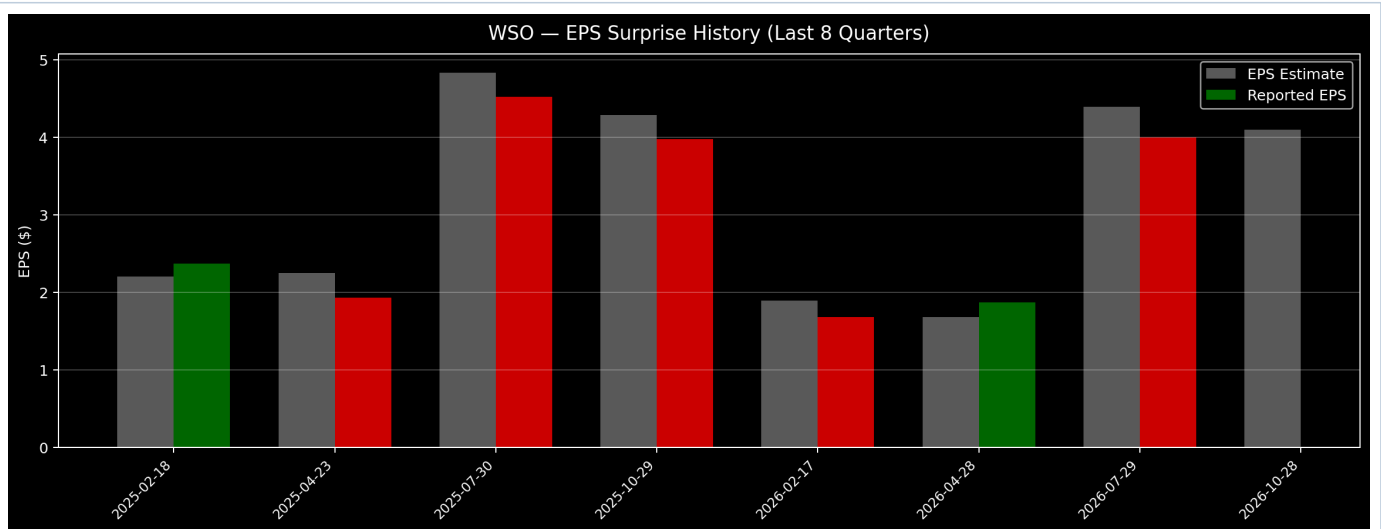


Figure 15. EPS Surprise History

Chart Read: Shows whether earnings have tended to beat or miss expectations.

Why it matters: surprise consistency helps separate narrative from execution. Source: earnings history · As-of: 2025-02-18

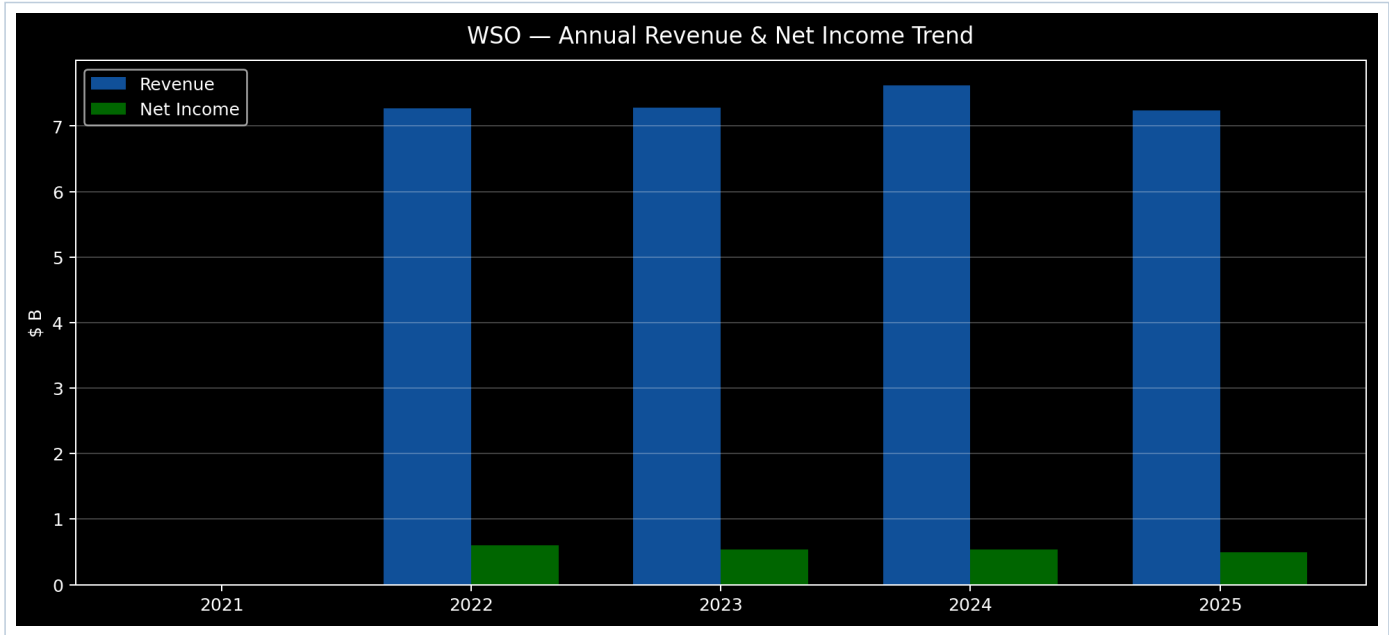


Figure 16. Annual Revenue & Net Income Trend

Chart Read: Shows the slope and consistency of top-line growth and profitability.

Why it matters: slope and consistency matter more than one quarter in isolation. Source: annual revenue history · As-of: 1970-01-01

Options Snapshot

NEAREST EXPIRY 2026-08-21	ATM IV (CALLS) 45.97%
ATM IV (PUTS) 47.83%	PUT/CALL RATIO 3.63
TOTAL CALL OI 2.15K	TOTAL PUT OI 1.88K

Options Expected Move

FRONT EXPIRY 2026-08-21	DTE 17
ATM IV USED 45.97%	EXPECTED MOVE +/-37.97 (11.94%)
IMPLIED RANGE 280.04 to 355.98	

Analyst Consensus

RECOMMENDATION HOLD	ANALYST COUNT 10
------------------------	---------------------

TARGET (MEAN)

\$382.20

TARGET RANGE

\$330.00 - \$485.00

Analyst Insight

Lens	Insight
Read	street view mixed
Implication	consensus is not a strong differentiator
Watch Next	watch target dispersion and rating breadth for revision pressure
Confidence	medium / conflicting signals

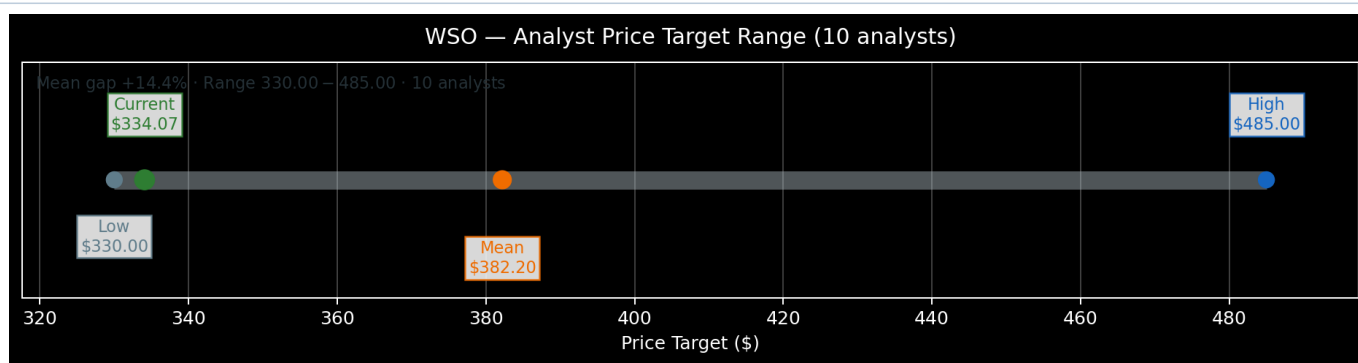


Figure 17. Analyst Price Target Range

Chart Read: Shows how optimistic or conservative the street target range currently is.

Read: consensus implies +20.2% with 40.6% target spread. Why it matters: shows how much of the upside case is already in consensus. Source: analyst consensus · As-of: 2026-08-03

Ownership / Crowding Context

CROWDING READ Distribution risk	TOP INSTITUTIONAL HOLDER Blackrock Inc.
TOP INSTITUTIONAL VALUE \$1.37B	TOP-5 INSTITUTIONAL CONCENTRATION 31.82%
INSTITUTIONAL HOLDER COUNT 5	TOP MUTUAL FUND HOLDER WASHINGTON MUTUAL INVESTORS FUND
TOP-5 MUTUAL FUND CONCENTRATION 15.44%	MUTUAL FUND % OUT (TOP-5) 0.00%
RECENT INSIDER BUYS / SELLS 0 / 3	RECENT INSIDER NET VALUE \$-7.62M

Ownership Insight

Lens	Insight
Read	distribution risk
Implication	holder base can amplify downside if conviction breaks

Lens	Insight
Watch Next	watch insider net activity against concentration changes
Confidence	high

Ownership Change Over Time

STATUS Unavailable	REASON No local holder snapshot loaded for the report.
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Top Institutional Holders

Holder	Shares	Value
Blackrock Inc.	4.09M	\$1.37B
Capital International Investors	3.48M	\$1.16B
Capital Research Global Investors	1.90M	\$634.28M
FMR, LLC	1.89M	\$631.51M
Vanguard Portfolio Management LLC	1.75M	\$584.98M

Mutual Fund Holders

Holder	Shares	% Out	Value
WASHINGTON MUTUAL INVESTORS FUND	1.67M	4.71%	\$558.70M
AMERICAN MUTUAL FUND	1.55M	4.36%	\$517.33M
iShares Trust-iShares Core S&P Mid-Cap ETF	1.19M	3.35%	\$398.03M
VANGUARD INDEX FUNDS-Vanguard Total Stock Market Index Fund	1.11M	3.13%	\$371.50M
SCHWAB STRATEGIC TRUST-Schwab US Dividend Equity ETF	833.80K	2.35%	\$278.55M

Insider Activity (yfinance)

Filing Date	Insider Name	Title	Trade Type	Price	Qty	Value
2025-12-12	LOPEZ-BLAZQUEZ ANA	Director	N/A Exercise	250.84	1000	250840
2025-12-05	DICKINS VEITCH DENISE E	Director	N/A Other	0.00	269	0
2025-06-10	CUSTER JOHN MICHAEL	Director	DOWN S	448.27	2200	986194
2025-05-15	DICKINS VEITCH DENISE E	Director	N/A Other	0.00	191	0
2025-05-12	DICKINS VEITCH DENISE E	Director	N/A Exercise	175.07	4500	787815
2025-03-05	ALVAREZ CESAR LICINIO	Director	DOWN S	499.46	2100	1049264
2025-03-05	ALVAREZ CESAR LICINIO	Director	N/A Exercise	175.07	2500	437675
2024-12-18	LOGAN BARRY S	Officer and Director	DOWN S	508.21	10998	5589294

Insider Pressure Summary

BUY COUNT 0	SELL COUNT 3
NET VALUE \$-7.62M	NET VALUE / MARKET CAP -0.06%

Recent News

NOTE Narrative: active downside headline risk. Coverage: 7 relevant headlines reviewed; 7 dated items.

Lens	Headlines
Bullish	No flagged headlines
Bearish	Watsco (NYSE:WSO) Misses Q2 CY2026 Sales Expectations
Neutral	Watsco Q2 Earnings Call Highlights ; Why Watsco (WSO) Shares Are Trading Lower Today ; Watsco Inc (WSO) Q2 2026 Earnings Call Highlights: Strong Cash Position and Strategic ...

Date	Publisher	Tag	Impact	Headline
2026-08-01	MarketBeat	earnings	[HIGH] [RECENT]	Watsco Q2 Earnings Call Highlights
2026-07-30	StockStory	general	[LOW] [RECENT]	Why Watsco (WSO) Shares Are Trading Lower Today
2026-07-29	GuruFocus.com	earnings	[HIGH] [RECENT]	Watsco Inc (WSO) Q2 2026 Earnings Call Highlights: Strong Cash Position and Strategic ...
2026-07-29	Motley Fool	general	[LOW] [RECENT]	Why Watsco Stock Crashed Today
2026-07-29	Zacks	earnings	[HIGH] [RECENT]	Watsco (WSO) Q2 Earnings and Revenues Lag Estimates
2026-07-29	StockStory	general	[LOW] [RECENT]	Watsco (NYSE:WSO) Misses Q2 CY2026 Sales Expectations
2026-07-28	StockStory	earnings	[HIGH] [RECENT]	Earnings To Watch: Watsco (WSO) Reports Q2 Results Tomorrow

Short Sale Pressure

AS OF 2026-07-31	SHORT VOLUME 200498.00
SHORT EXEMPT VOLUME 650.00	TOTAL VOLUME 285268.00
SHORT VOLUME RATIO 70.28%	SHORT EXEMPT VOLUME RATIO 0.23%
5D AVG SHORT VOLUME RATIO 74.76%	20D AVG SHORT VOLUME RATIO 76.23%
READ Short pressure easing	

Short Interest Insight

Lens	Insight
Read	short pressure easing
Implication	squeeze risk is easing
Watch Next	watch short ratio versus 20D average and price response together
Confidence	high

Event Risk Calendar

Event	Date	Distance	Note
Earnings	2026-10-28	85d	scheduled
Dividend	2026-07-13	22d ago	last cash event
8-K	2026-07-29	6d ago	latest filing

Catalyst / Event Risk

Driver	Status
Next Earnings	2026-10-28
Latest Dividend	2026-07-13
Analyst Target Gap	20.18%

SEC Filing Timeline

LATEST FORM 8-K	LATEST FILING DATE 2026-07-29
LATEST REPORT DATE 2026-07-29	LATEST FILING LAG 0.00d

8-K COUNT (90D)

4

10-Q COUNT (365D)

2

10-K COUNT (365D)

1

Form	Filing Date	Report D...	Lag	Type
8-K	2026-07-29	2026-07-29	0.00d	8-K
8-K	2026-06-04	2026-06-04	0.00d	8-K
8-K/A	2026-06-04	2026-04-23	42.00d	8-K
8-K	2026-06-03	2026-06-01	2.00d	8-K
10-Q	2026-05-08	2026-03-31	38.00d	10-Q

End Summary

Lens	Close
Profile	full
Action Bias	Hold / Neutral
Score / Verdict	43.04 / MONITOR
Risk Box	stop 288.03 / trade target 377.98
Analyst Mean Gap	20.18%
Regime / Catalyst	neutral / 2026-10-28

Closing Insight

Lens	Insight
Read	conviction remains weak and risk discipline matters more than upside
Implication	size to the setup only if flow, relative strength, and event path stay aligned
Watch Next	watch stop discipline, benchmark-relative tape, and catalyst timing together
Confidence	medium / stale inputs

Appendix

NOTE

Reference material, data provenance, and lower-priority diagnostics.

DATASET ROOT

cerberus_data

FRESH / STALE / UNKNOWN

0 / 22 / 2

TRACKED DATASETS

24

Dataset	As Of	Age	SLA	Status	Source
Actions	2026-07-13	543.3h	no SLA	stale	cerberus_data
NAAIM	2026-07-22	331.3h	no SLA	stale	cerberus_data
aaii_sentiment	2026-07-23	307.3h	no SLA	stale	aaii_sentiment
SEC Events	2026-07-29	163.3h	no SLA	stale	sec_submissions
cboe_bxm	2026-07-31	115.3h	no SLA	stale	cboe_bxm
cboe_longvol	2026-07-31	115.3h	no SLA	stale	cboe_longvol
cboe_lovol	2026-07-31	115.3h	no SLA	stale	cboe_lovol
cboe_ltv	2026-07-31	115.3h	no SLA	stale	cboe_ltv

+16 additional datasets tracked in companion manifest.

Methodology

NOTE

Definitions

Topic	Note
Score Components	Momentum, Trend, Mean Reversion, Bollinger, VWAP, Trend Strength, Vol Stability, Risk Adjusted, Drawdown, Volume Confirmation
Flow Divergence Logic	Flow divergence compares 5D/20D price returns against cumulative major and retail net flow from local stock_flows; positive major flow with flat/down price flags accumulation, negative major flow with resilient price flags distribution.
Benchmark Selection	Benchmarks prefer index membership and sector mapping from local security/index snapshots; current order SPY, XLI.

Fallback Usage

Dataset	Handling	Severity
fundamentals	fundamentals dataset unavailable	optional
flows	flows dataset unavailable	optional
options_summary	options_summary dataset unavailable	optional
holders	holders dataset unavailable	optional
esg	esg dataset unavailable	optional
sec_company_tickers	sec_company_tickers dataset unavailable	optional
insider_transactions	insider_transactions dataset unavailable	optional

NOTE

Report generated by SanCapital Cerberus — for research purposes only.

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Document Control

Report Schema	2
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